

UTILITY &amp; WATER-SUPPLY RECEIVABLES · HOW WE RECOVER

## Customer-focused utility collections: the diplomatic approach that recovers more, for less.

Why consumer-friendly, compliant recovery strategies save utilities money long-term — adapted from an article by SWRS founder & CEO Steven Dietz

The shift toward customer-focused debt collection isn't just about ethics — it's about economics. For a utility, and especially a member-owned one, the customers behind on a bill are also the community the board answers to. The evidence from two decades of utility recovery work points one way: empathetic, compliant, customer-focused programs collect more money, cost less to run, and protect the relationships and reputation that aggressive approaches quietly destroy. This paper lays out the full argument — the hidden costs of the old way, the evidence for the customer-focused way, the specific strategies that deliver the savings, and how a utility puts the program into practice without adding a dollar of fixed cost.

### Executive summary

Aggressive collection tactics produce a false economy: short-term recoveries that mask hidden costs compounding underneath — FDCPA and TCPA exposure at **\$500–\$1,500 per violation**, customer churn that destroys revenue streams worth far more than any single balance, and the recovery-rate paradox in which threatened debtors go silent and cost more to work. Customer-focused programs invert every one of those lines: flexible payment options reduce complete defaults, empathetic communication turns adversarial standoffs into voluntary resolutions, and data-driven segmentation puts effort where it pays. The proven strategy set — automated personalized reminders, proactive pattern monitoring, coordinated cross-department contact, staff trained for hard conversations, and compliance embedded rather than bolted on — delivers measurably higher recovery at lower operating cost. For a member-owned water supply corporation the conclusion is sharper still: diplomatic recovery isn't the soft option, it's the profitable one — and adopting it through an established contingency partner requires no new systems, no new staff, and no budget line. This paper explains the method.

## 1. The economics, not just the ethics

Collections has an old reputation: pressure, threats, volume. For decades the industry assumed that firmer meant more effective — that recovery was a zero-sum contest between the creditor's money and the debtor's comfort. The operating experience says otherwise. Customer-oriented recovery programs deliver measurable benefits on every line that matters to a utility's ledger: they collect more and collect higher payments, they reduce operational costs,

they decrease charge-offs, and they strengthen long-term loyalty — because a customer treated fairly at their worst financial moment remembers it, and in a small service territory, so do their neighbors.

In Southwest Recovery’s experience across hundreds of thousands of consumer accounts, empathetic approaches consistently outperform aggressive tactics in both recovery rates and customer-satisfaction measures. That is the foundation of everything that follows: the diplomatic approach is not the cost of doing collections respectably — it is the higher-yield strategy.

## 2. The hidden costs of aggressive collections

Hard-line tactics look decisive on the surface and produce a false economy underneath — short-term recoveries that mask substantial hidden costs compounding over time:

| HIDDEN COST           | HOW IT COMPOUNDS                                                                                                                                                                                                                                                                             |
|-----------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Compliance violations | FDCPA and TCPA violations run \$500–\$1,500 per violation, with class actions far higher. Harsh tactics drive complaints, complaints drive legal exposure — and the penalties can exceed the value of the debt being chased.                                                                 |
| Customer churn        | A customer driven away permanently takes a long-term revenue stream worth far more than the single balance collected. Replacing them costs marketing dollars; rebuilding trust costs more than maintaining it ever would have. The cycle repeats, raising expenses while shrinking the base. |
| Lower recovery rates  | Paradoxically, aggressive tactics often collect less: debtors who feel threatened or disrespected stop cooperating and avoid contact entirely — multiplying contact attempts, staff time and administrative expense across a growing pool of unresolved accounts.                            |
| Reputational damage   | For a member-owned utility this is the sharpest cost of all: how your collection partner behaves reflects directly on the board, at every community meeting and every future rate conversation.                                                                                              |

*Violation figures per the Fair Debt Collection Practices Act and Telephone Consumer Protection Act statutory-damage provisions; see “How Customer-Focused Utility Debt Collections Strategies Save Money Long Term,” swrecovery.com.*

The behavioral mechanism behind the recovery-rate paradox deserves emphasis, because it is the most counterintuitive and the most consistent finding: a consumer who screens your calls cannot negotiate a payment plan. The pressure model doesn’t just cost goodwill — it costs money at the exact task it claims to be best at.

## 3. The evidence for the customer-focused approach

Against those hidden costs stands a body of operating evidence for the alternative. Three mechanisms do the work. **Flexible payment options increase recovery.** Most debtors want to repay but need accommodation — a household behind on a water bill is usually a household managing a hard month, not a bad actor. Installment options and realistic settlements reduce complete defaults, keep former customers engaged, and shorten resolution times. **Empathetic communication preserves relationships.** Treating the person on the other end with respect transforms the encounter from adversarial to collaborative; preserved relationships lead to voluntary compliance, voluntary compliance leads to faster resolution, and faster resolution reduces the total cost of every recovered dollar. **Data-driven segmentation optimizes resources.** A reliable payer who slipped once needs a light-touch automated reminder; a medium-risk account needs proactive, tailored intervention before the balance grows; high-risk and aged accounts get the skilled human attention that actually moves them — because it isn’t being burned on the accounts

that never needed it. Segmentation maximizes efficiency while minimizing unnecessary contact, which is itself a compliance and goodwill win.

#### 4. Proven strategies that deliver measurable savings

| STRATEGY                                | WHERE THE SAVINGS COME FROM                                                                                                                                                                                                                                             |
|-----------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Automated, personalized reminders       | SMS, email and phone reminders significantly reduce late payments while requiring minimal human intervention. Early contact keeps minor delays from becoming major collection challenges — sustainable prevention that shrinks the workload at its source.              |
| Proactive pattern monitoring            | Watching payment patterns and catching early warning signs means issues get addressed while still manageable — reducing the accounts that ever require intensive effort, and preserving the goodwill that makes future cooperation possible.                            |
| Cross-department coordination           | When billing, customer service and analytics work from one playbook, the customer hears one consistent message. Conflicting communications disappear, resolution rates improve, and operational redundancies are eliminated.                                            |
| Staff trained for the hard conversation | Collectors trained in empathetic communication, active listening and solution-oriented problem-solving handle difficult conversations professionally — producing better cooperation, higher resolution rates, and lower turnover in a role where turnover is expensive. |
| Compliance embedded, not bolted on      | FDCPA / TCPA / consumer-protection protocols built into every step from first contact to final resolution — with regular audits, continuing education, and technology safeguards that prevent violations before they occur rather than paying for them after.           |

#### 5. The implementation framework

Customer-focused collection isn't a slogan — it's infrastructure. Three components make it real, and a utility gets all three by choosing a partner that has already built them rather than standing them up internally. **The platform:** payment processing, customer communications and analytics integrated in one system — multiple ways to pay, every interaction tracked, patterns analyzed continuously, and contact timing, frequency and tone adjusted automatically to each customer's preferences and response patterns, maximizing engagement while respecting boundaries. **The people:** collectors trained in empathetic communication, active listening and solution-oriented problem-solving, with long-term relationship preservation as an explicit priority — the payoff shows up in cooperation, resolution rates, and staff retention at once. **The compliance architecture:** protocols embedded into every process from initial contact through final resolution — regular auditing, continuous staff education as rules evolve, and technology safeguards that make many violations mechanically impossible. The strategic value is double: it prevents expensive legal consequences, and it keeps every recovered dollar clean enough to stand behind publicly.

##### What this means for a member-owned water supply corporation

Your delinquent finals belong to people who were — and whose families may still be — part of your community. Every written-off final is absorbed by the members who stayed and paid; recovering them isn't aggressive, it's fair. A customer-focused recovery program is the version of collections a board can approve and defend at any community meeting — diplomatic contact, flexible arrangements, documented compliance on every account, and reporting the board can read at every meeting. It recovers more of the

money the remaining members are absorbing, at zero upfront cost on contingency, without a single tactic that embarrasses the name on the water tower. Diplomatic isn't the soft option. It's the profitable one.

## 6. The long-term profitability case

The evidence overwhelmingly supports customer-focused debt collection as the most profitable long-term strategy. Organizations that implement it report higher recovery rates, reduced operational costs, and stronger relationships that keep generating value after the balance is resolved. The mechanism is simple arithmetic, compounding across four lines:

| THE LINE ITEM         | THE COMPOUNDING EFFECT                                                                                                                                                         |
|-----------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| More collected        | Cooperative debtors resolve balances that threatened ones never would — recovery rates rise on the same portfolio, with the same balances, purely from the change in approach. |
| Less spent per dollar | Prevention, automation and segmentation cut the cost of every recovered dollar — fewer contacts per resolution, fewer accounts stuck in intensive effort.                      |
| Fines avoided         | Embedded compliance eliminates an entire risk category — the per-violation exposure and the class-action tail behind it.                                                       |
| Relationships kept    | Positive cash flow, reduced outstanding balances, and customer relationships preserved — sustainable competitive advantages that compound over time.                           |

There is an honest investment reality: customer-focused programs require upfront spending on technology, training and process development. But the long-term savings and revenue benefits far exceed those costs — and for a utility placing accounts with an established partner, the investment has already been made by someone else. Customer-focused collections aren't the compromise between recovery and reputation. They're how you get both.

## 7. Adopting it without adding a dollar of fixed cost

For a water supply corporation, adoption is deliberately light-lift — the program arrives with the partner, not the payroll. The delinquent-finals export from the billing system becomes the placement file; a good partner maps the columns once and every future placement takes minutes. The office keeps its existing workflow — no new software, no new staff, no collections training for a team that was hired to run a utility. Contingency pricing means zero budget impact: no upfront fee, no retainer, no minimum — the program funds itself exclusively out of dollars it recovers, so a board never has to appropriate for it. The board sees everything through live recovery reporting — placements, contacts, recoveries, remittances — on demand. And the two levers for moved customers come built in: professional skip tracing to locate former members who left no forwarding address, and credit-bureau reporting under the FCRA — the consequence that brings a small final bill back to the table, applied within the same customer-focused, compliant framework.

## 8. Measuring the program: what a board should track

A customer-focused program is also a measurable one — the same data discipline that drives segmentation and personalized contact produces the oversight numbers a board needs. Four measures tell the whole story, and a recovery partner should surface every one of them on demand:

| MEASURE                     | WHAT IT TELLS THE BOARD                                                                                                                                                                                                                                  |
|-----------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Recovery rate by age band   | The percentage of placed dollars recovered, split by how old the balance was at placement — the number that proves the age curve and makes the case for standing monthly placement over annual cleanups.                                                 |
| Placement freshness         | The average age of accounts at the moment they're placed — the single measure the utility itself controls, and the one with the most leverage over results.                                                                                              |
| Complaint rate              | For a member-owned utility the target is simple: zero. A customer-focused, compliance-embedded program should generate recoveries without grievances — and every contact is documented, so any question a member raises can be answered from the record. |
| Net-back to the corporation | Dollars remitted after the contingency fee — the only number that ultimately matters to the budget. Because the model is contingency-only, the floor is zero cost; everything above it is recovered revenue.                                             |

These four numbers, reviewed quarterly, give a board complete oversight of a collections program in fifteen minutes — recovery performance, process discipline, community impact, and financial return. That is what it means for compliance and customer focus to be architecture rather than promises: the proof is standing in the reporting, meeting after meeting, in numbers the office never has to compile by hand.

### About Southwest Recovery Services

Southwest Recovery Services recovers utility receivables — water and wastewater (for municipal and private providers alike, including member-owned water supply corporations), electric, gas, telecommunications and waste services — on pure contingency since 2004, growing from one Texas office to 12 offices across 7 states. Residential accounts are worked under the FDCPA, TCPA and CFPB Regulation F with the customer-focused approach this paper describes; qualifying accounts are furnished to the major credit bureaus under the FCRA. Over two decades we have placed more than \$975M in receivables, recovered over \$76M for clients, and worked 800,000+ accounts nationwide — with no upfront fee, no retainer and no minimum. Southwest Recovery is an ACA International member with a clean compliance record since 2004.

### Recovery your board can approve — and defend.

A short call to walk your delinquent finals, see the customer-focused program in practice, and put a contingency rate against a representative sample — no upfront fee, no retainer, no minimum.

Call (866) 551-4684 · [sdietz@swrecovery.com](mailto:sdietz@swrecovery.com) · [swrecovery.com](http://swrecovery.com)

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